

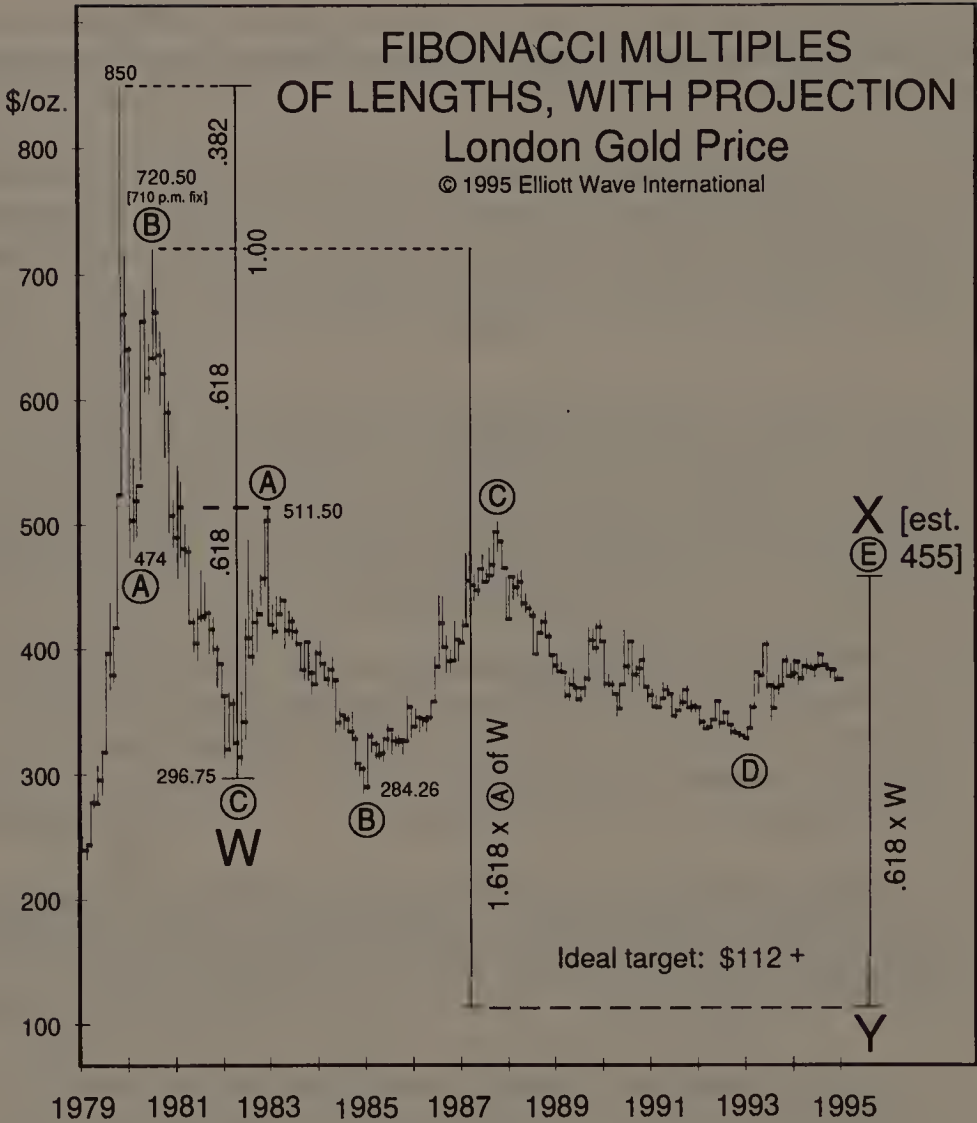


Figure 17-9

How can the structure to date be utilized to calculate a more specific downside target? It is very common for the “W” and “Y” waves in a double zigzag to be related either by equality or the Fibonacci ratio. Consider that wave W, from 1980 to 1982, fell a distance of \$553.25. If gold peaks below \$502.75 as it should, then both equality and a 1.618 multiple are out of the question, as both lengths would produce targets below zero. The only common relationship remaining is that wave Y will be .618 times as long as wave W, falling a distance close to $\$553.25 \times .618$, or \$341.91. Because the peak of wave **E** has not been registered, the actual target level based upon this wave relationship is unavailable. My forecast, then, is that wave